

its (subject to a few adjustments) will be the amount on which taxes will be required to be paid. Taxes will be payable by all enterprises carrying on commercial activity in the UAE and by foreign entities that are controlled and managed from the UAE. Legal entities incorporated in the UAE would pay taxes in the country on their worldwide income, whereas

deals with or carries on activity in the mainland, provisions have been introduced to tax income arising in the mainland and/or disallow the related expenditure. These provisions require very careful consideration and there may be a need for entities that operate in FZEs as well as in the mainland to have a closer look and restructure their operations.

tion would need to be cognisant of the fact that there is a restriction on interest deduction, to the extent of 30 per cent to the Ebitda.

Another significant set of provisions that would make compliance easy and will mitigate the rigours of tax is the provision about grouping. Companies with common shareholding of at least 95 per cent can form corporate tax groups. There are some unique provisions with regard to transfer of losses between group companies. Generally speaking, taxes are payable on 75 per cent of the book profits, the balance being set off against brought-forward losses. There are provisions for making restructuring and business transfers tax-exempt.

Finally, there are no requirements for withholding taxes and no need to pay advance taxes, both of which are very welcome provisions.

With the introduction of corporate tax, all entities carrying on business in the UAE need to evaluate whether the way the businesses are currently structured is appropriate or not. A variety of considerations would come in. For example, one needs to consider restructuring debt and equity so as to get interest deduction, or how assets should be held and rentals should be charged, or evaluate location of intellectual property and charging of royalties, among others. Given that several businesses in India have links to the UAE, Indian businesses will need to closely evaluate their structures and ensure that these are efficient in the context of the introduction of corporate tax.

While the UAE will lose its tag of a tax-free nation, businesses will benefit from enhanced transparency and recognition of the country as a fully globally compliant jurisdiction and, with appropriate structuring, ensure that the rigours of corporate tax are minimised. **BT**

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others would pay tax on their UAE-sourced income.

A heartening proposition is the continuing commitment that the government will honour agreements entered into with FZEs and the income of these enterprises will continue to be outside the ambit of corporate tax. That said, if an FZE

With a view to encourage companies to consider the UAE as a holding company jurisdiction, foreign dividend and capital gains as well as dividend from UAE-based entities would continue to be exempt from tax, subject to compliance with certain conditions. However, those using the UAE as a holding company jurisdic-